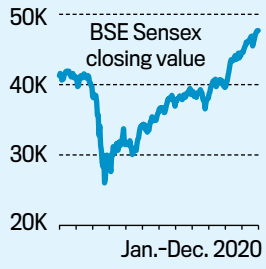
LOSS AVERSION



bull market phase when profits can be made in short periods of time. However, that is not likely to be the case always. Understand the risks associated with equity investing and know that markets move in cycles of lows and highs. Factor your personal risk-taking abilities and the financial goal towards which you are investing. If your goals have a long way to go, equity is a superior option. However, if the goal is short-term, you may be better-off staying away from equities.

Solution: If you are a first-time equity investor, consider investing through mutual funds instead of directly investing in stocks. Observe the way your investments behave over a 6-month to one-year period, draw from the lessons learnt before increasing your investments in mutual funds (MFs) or direct stocks.

↘ STUCK ON DATED INFORMATION

Wise investors keep track of price movements of specific stocks and MF schemes. However, keeping track does not mean you get fixated with a price and base your investment decisions based on that. Investors use a default number, such as a 52-week high, low price of a stock or a specific NAV of an MF scheme and anchor decisions based on this figure.

The S&P BSE Sensex touched 60,000 on September 24, 2021, and crossed that milestone on October 14, 2021, when it touched 61,000. However, over the next five months, the Sensex didn't touch 62,000 and in fact it has mostly remained below 60,000 since then (it touched the 60,000 level once in early April 2022). Now, an investor who based his investment on the data that the Sensex crossed 61,000 within weeks of touching 60,000 would probably anticipate that the index will zoom to 64,000 within months of their investments and then be disillusioned when the expected gains don't happen.

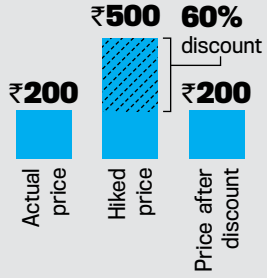
This concept of price anchoring is best understood through an example of a retail store marketing gimmick. A pair of slippers may not be selling for Rs 200, but the moment the price is increased to Rs 500 and then knocked down by 60 per cent (back to Rs 200), there is significant demand for it. This bias has more to do with laying importance to information irrelevant to the price of the slippers.

Investors should base their investment decision on information that is relevant to their investment. For instance, stock market movements are impacted by news and events; an unexpected war resulting in a fall in markets should be factored in when investing than laying stress on a new milestone achieved by an index.

Solution: Investors should learn from history. The fall or rise of stock markets is based on a combination of several factors. Do not let anchoring biases influence your investment patterns leading to sub-optimal decisions regarding your investment portfolio. Invest based on not just the recent information, but on a variety of factors that impact market movements.

FLIP-FLOPS

How the retail 'slippers on discount' scheme works



↘ KNOW-IT-ALLS

To be confident about investments is a desired trait. But it should not lead to overconfidence based on a tendency to seek selective information that supports one's personal beliefs. An investor working in a technology company may know the sector so well that they work in their belief while investing in tech companies. This bias may lead investors to focus only on information that reinforces their opinions about an investment.

Take, for instance, how the healthcare sector was in the news and in demand in 2020 on the back of Covid-19. The S&P BSE Healthcare index had posted the highest returns of 62.61 per cent. Now, if an investor working in the healthcare sector had bet for a repeat performance based on this data, he would have been disappointed, because in 2021, the same index posted 21.24 per cent gains. However, the top-performing sector in 2021 was S&P BSE Utilities sector which posted 70.35 per cent returns compared to the 4.18 per cent returns it had posted in 2020.

Investors should not focus too narrowly on a particular type of investment that could leave their investments vulnerable to company or sector-specific downturns. The I-know-it-all attitude can also keep investors from realistically viewing market conditions. Many investors exited the markets during the Corona lockdown phase between March and June 2020 based on incomplete information that predicted the end of the economy.

Solution: Gather information and an array of viewpoints on your investments and ask questions

OVERCONFIDENCE BASED ON A TENDENCY TO SEEK SELECTIVE INFORMATION THAT SUPPORTS ONE'S PERSONAL BELIEFS IS NOT A DESIRED TRAIT WHILE INVESTING